

# THE FOLES

Anycity, XX, USA

**OFFERING MEMORANDUM**

EAST LANG ELLIS

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# EXCLUSIVE ADVISORS


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# THE FOLES

## Anytown, USA

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# EXECUTIVE SUMMARY

EAST LANG ELLIS

# THE FOLES

## A WORLD CLASS
## ONCE IN A GENERATION OFFERING

The Foles is a 300', 25-story high-rise with 325 luxury residences in the heart of Anytown's Center City district. Its location is central within the vibrant, mixed use downtown area and boasts impressive views. This Property is well positioned as a best-in-class asset.

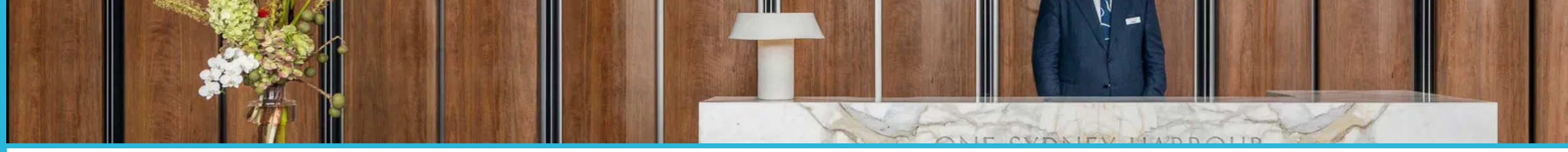
The Foles is the latest Class A multifamily asset to be delivered in the Center City submarket and there is currently no additional multifamily high rises in the pipeline.

| PROPERTY SUMMARY | |
|---|---|
| Number of Units | **325** |
| Residential Square Footage | **257,000** |
| Average SF Per Unit | **790** |
| Stories | **25** |
| Parking Spaces | **200** |
| Occupancy | **95%** |
| Average Rent | **$2,432** |
| Average Rent PSF | **$3.08** |



ROOFTOP DECK VIEW

# PROPERTY OVERVIEW



# Physical Summary & Amenities

## PHYSICAL SUMMARY

| PROPERTY DETAILS | |
|---|---|
| Completed | April 2016 |
| Site Size (Acres) | 0.855 |
| Building Height | 290' |
| Units | 325 |
| Gross Building Area | 290,000 |
| RSF | 257,000 |
| Average SF | 791 |
| Stories | 25 |
| Parking Spaces | 200 |
| Ceiling Heights | 8'6" (L2-20); 9' (L21-25) |
| Washer/Dryer | In Unit |
| Patios/Balconies | Patios in select units |
| Construction Type | Type 1 |

## UNIT AMENITIES

- Washer/Dryer in Unit
- Recessed lighting
- Walk-in closets
- Soaking tub
- Dishwashers
- Balconies
- USB charging outlets

## PROPERTY AMENITIES

- 2 indoor swimming pools: lap pool with diving board and recreational pool
- Rooftop deck with gas grills
- Fitness center with yoga studio
- Coffee bar
- Billiards & ping pong room
- Catering kitchen

# Unit Mix & Stacking Plan

## UNIT MIX

| Type | Units | % Units | Total RSF | % RSF | Ave SF | Ave Rent | $/RSF |
|---|---|---|---|---|---|---|---|
| Studio | 48 | 15% | 27,456 | 11% | 572 | $1,773 | $3.10 |
| 1 Bed | 130 | 40% | 103,350 | 40% | 795 | $2,447 | $3.08 |
| 2 Bed | 114 | 35% | 94,050 | 37% | 825 | $2,525 | $3.06 |
| 3 Bed | 33 | 10% | 32,076 | 12% | 972 | $3,003 | $3.09 |
| **Total/Ave** | **325** | **100%** | **256,932** | **100%** | **791** | **$2,431** | **$3.08** |

## STACKING PLAN

| Floor | Studio | 1 Bed | 2 Bed | 3 Bed | Total Units | Total Net Rentable SF |
|---|---|---|---|---|---|---|
| Floor 25 | 0 | 4 | 6 | 2 | 12 | 10,074 |
| Floor 24 | 0 | 4 | 6 | 2 | 12 | 10,074 |
| Floor 23 | 0 | 4 | 6 | 2 | 12 | 10,074 |
| Floor 22 | 0 | 4 | 6 | 2 | 12 | 10,074 |
| Floor 21 | 0 | 4 | 6 | 2 | 12 | 10,074 |
| Floor 20 | 1 | 1 | 3 | 2 | 7 | 5,786 |
| Floor 19 | 2 | 6 | 3 | 2 | 13 | 10,333 |
| Floor 18 | 2 | 6 | 3 | 2 | 13 | 10,333 |
| Floor 17 | 2 | 6 | 3 | 2 | 13 | 10,333 |
| Floor 16 | 1 | 7 | 4 | 1 | 13 | 10,409 |
| Floor 15 | 2 | 7 | 4 | 1 | 14 | 10,981 |
| Floor 14 | 2 | 7 | 4 | 1 | 14 | 10,981 |
| Floor 13 | 2 | 7 | 4 | 1 | 14 | 10,981 |
| Floor 12 | 2 | 7 | 4 | 1 | 14 | 10,981 |
| Floor 11 | 4 | 6 | 4 | 1 | 15 | 11,330 |
| Floor 10 | 3 | 1 | 5 | 1 | 10 | 7,608 |
| Floor 9 | 3 | 6 | 5 | 1 | 15 | 11,583 |
| Floor 8 | 3 | 6 | 5 | 1 | 15 | 11,583 |
| Floor 7 | 3 | 6 | 5 | 1 | 15 | 11,583 |
| Floor 6 | 3 | 6 | 5 | 1 | 15 | 11,583 |
| Floor 5 | 3 | 6 | 6 | 1 | 16 | 12,408 |
| Floor 4 | 4 | 6 | 5 | 1 | 16 | 12,155 |
| Floor 3 | 3 | 6 | 6 | 1 | 16 | 12,408 |
| Floor 2 | 3 | 7 | 6 | 1 | 17 | 13,203 |
| Floor 1 | — | — | — | — | — | — |
| **Total** | **48** | **130** | **114** | **33** | **325** | **256,932** |

SECTION 03

# UNDERWRITING

# Historical Operating Statements

| LINE ITEM | 2016 (APRIL - DEC) | 2017 | T12 OCT. '18 |
|---|---|---|---|
| Market Rent | 4,081,466 | 9,370,461 | 9,557,870 |
| Loss-to-Lease | (36,733) | (112,446) | (191,157) |
| Actual Vacancy & Credit Loss | (152,375) | (376,234) | (477,894) |
| Concessions | (464,599) | (403,591) | (412,900) |
| **Total Rental Revenue** | **3,427,758** | **8,478,191** | **8,475,919** |
| RUBS | 103,546 | 235,271 | 234,000 |
| Other Income | 61,779 | 132,615 | 136,220 |
| Storage Income | 82,030 | 166,663 | 171,000 |
| Parking Income | 161,190 | 315,949 | 324,000 |
| **Total Other Income** | **408,546** | **849,893** | **865,220** |
| **Gross Revenue** | **3,836,304** | **9,327,622** | **9,341,139** |
| General Vacancy and Credit Loss | (11,063) | (19,060) | (28,674) |
| **Total Effective Gross Revenue** | **3,825,241** | **9,308,533** | **9,312,466** |

| LINE ITEM | 2016 (APRIL - DEC) | 2017 | T12 OCT. '18 |
|---|---|---|---|
| Repairs and Maintenance | 56,628 | 121,119 | 123,541 |
| Contract Services | 36,299 | 93,007 | 99,369 |
| Turnover | 71,781 | 120,802 | 133,121 |
| Administrative | 45,165 | 98,988 | 100,968 |
| Advertising and Marketing | 104,715 | 127,189 | 87,860 |
| Payroll | 277,667 | 604,830 | 607,031 |
| Utilities | 174,232 | 348,601 | 386,858 |
| Property Taxes | 495,794 | 1,500,000 | 1,520,000 |
| Insurance | 107,482 | 234,825 | 238,739 |
| Property Management | 112,355 | 274,599 | 279,374 |
| **Total Operating Expenses** | **1,482,117** | **3,523,962** | **3,576,861** |
| **NET OPERATING INCOME** | **2,343,125** | **5,784,572** | **5,735,604** |

# 10-YEAR PRO FORMA

EAST LANG ELLIS

| Period | Growth | Year 1 | Year 2 | Year 3 | Year 4 | Year 5 | Year 6 | Year 7 | Year 8 | Year 9 | Year 10 | Residual |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **REVENUE** | | | | | | | | | | | | |
| Gross Potential Rent | *3.50%* | 9,892,396 | 10,238,630 | 10,596,982 | 10,967,876 | 11,351,752 | 11,749,063 | 12,160,280 | 12,585,890 | 13,026,396 | 13,482,320 | 13,954,201 |
| Total Other Income | *3.00%* | 913,212 | 940,608 | 968,826 | 997,891 | 1,027,828 | 1,058,663 | 1,090,422 | 1,123,135 | 1,156,829 | 1,191,534 | 1,227,280 |
| **Total Effective Gross Revenue** | | **10,038,947** | **10,488,130** | **10,956,481** | **11,335,114** | **11,726,854** | **12,132,155** | **12,551,487** | **12,985,337** | **13,434,208** | **13,898,621** | **14,379,115** |
| **OPERATING EXPENSES** | | | | | | | | | | | | |
| Total Controllable Expenses | *3.00%* | 1,627,476 | 1,676,299 | 1,726,588 | 1,778,386 | 1,831,737 | 1,886,689 | 1,943,290 | 2,001,589 | 2,061,637 | 2,123,486 | 2,187,191 |
| Total Fixed Expenses | *Var.* | 2,189,133 | 2,239,943 | 2,292,061 | 2,342,236 | 2,393,567 | 2,446,082 | 2,499,811 | 2,554,783 | 2,611,030 | 2,668,583 | 2,727,475 |
| **Total Operating Expenses** | | **3,816,609** | **3,916,242** | **4,018,649** | **4,120,622** | **4,225,304** | **4,332,771** | **4,443,101** | **4,556,372** | **4,672,667** | **4,792,069** | **4,914,666** |
| **NET OPERATING INCOME** | | **6,222,338** | **6,571,888** | **6,937,832** | **7,214,492** | **7,501,550** | **7,799,383** | **8,108,386** | **8,428,964** | **8,761,541** | **9,106,551** | **9,464,449** |

**Notes**

1. Concessions at 2% of GPR in year 1, 1% in year 2, and 0% thereafter.
2. Ownership currently charges a flat fee that ranges from $50 - $100. Assumes a 3% annual growth.
3. Includes pet fees, late rent fees, application fees, amenity rental, damages, and lease termination fees. Assumes a 3% annual growth.
4. 1.6% current mill rate. Assumes 2% growth rate.

# Sale & Rent Comparables

## SALE COMPARABLES

| Comp | Name | Units | RSF | Ave Size/Unit | Sale Price | $/Unit | $/RSF | Cap Rate | Built | Sale Date |
|---|---|---|---|---|---|---|---|---|---|---|
| 1 | Cunningham Tower | 250 | 181,250 RSF | 725 RSF | $77,413,889 | $309,656 | $427.11 | 5.40% | 2014 | Dec-17 |
| 2 | 41 Victory Lane | 162 | 113,400 RSF | 700 RSF | $49,348,257 | $304,619 | $435.17 | 5.30% | 2012 | Mar-18 |
| 3 | The Dawkins | 375 | 271,875 RSF | 725 RSF | $120,587,019 | $321,565 | $443.54 | 5.20% | 2016 | May-17 |
| 4 | 540 Pacific | 65 | 57,785 RSF | 889 RSF | $33,318,831 | $512,597 | $576.60 | 4.00% | 2015 | Dec-16 |
| 5 | The Kelce | 300 | 210,000 RSF | 700 RSF | $93,143,077 | $310,477 | $443.54 | 5.20% | 2016 | May-18 |
| **Average** | — | — | **724 RSF** | — | — | **$324,489** | **$448.05** | — | — | — |

## RENT COMPARABLES

| Field | 123 Wentz Circle | The McNabb | 540 Pacific | The Aero |
|---|---|---|---|---|
| Total Units | 213 | 413 | 65 | 330 |
| Avg. Size | 739 sf | 764 sf | 889 sf | 805 sf |
| Year Built | 2012 | 2009 | 2016 | 2013 |
| Occupancy | 94% | 93% | 98% | 96% |
| Studio Asking Rent | $1,783 | $1,678 | $2,034 | $1,860 |
| Studio per SF | $3.10 | $3.05 | $3.39 | $3.10 |
| 1 Bed Asking Rent | $2,333 | $2,219 | $2,865 | $2,336 |
| 1 Bed per SF | $3.07 | $3.06 | $3.37 | $3.05 |
| 2 Bed Asking Rent | $2,593 | $2,480 | $3,468 | $2,627 |
| 2 Bed per SF | $3.05 | $3.10 | $3.65 | $3.09 |
| 3 Bed Asking Rent | N/A | $2,803 | $4,608 | $3,090 |
| 3 Bed per SF | N/A | $2.95 | $3.84 | $3.09 |
| Ave Asking Rent | **$2,269** | **$2,321** | **$3,150** | **$2,479** |
| Ave per SF | **$3.07** | **$3.04** | **$3.54** | **$3.08** |
| Concessions | 4 Weeks | 4 Weeks | 4 Weeks | 4 Weeks |

NOT INCLUDED FOR THIS CASE STUDY

# LOCATION OVERVIEW

ENT INCLUDED FOR THIS CASE STUDY

# MARKET OVERVIEW

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